

Root Cause Analysis

1. What Is Happening?

NovaBank is facing a dual engagement crisis — a customer activation problem and a customer value problem — that is directly impacting financial performance.

- **54.42% of customers (2,721 out of 5,000)** have never made a single transaction after joining. The bank is successfully acquiring customers but failing to activate them.
- **Only 18 out of 5,000 customers** are High Value. 94.3% of the customer base falls in the Low Engagement segment, with most using NovaBank as a secondary account for petty transactions and savings.
- **Transaction Success Rate is 82.68%** against an industry benchmark of 97–98%. 1 in 6 transactions fails, degrading customer experience and accelerating disengagement.
- **Portfolio outflow exceeds inflow by ₹2 Crore**, confirming this is not just a behavioral issue — it has a direct financial impact on the bank.

2. Where Is It Happening?

The problem is spread across the entire customer base but is concentrated in specific areas:

- **Activation stage (Month 0):** Only 40.15% of customers transact in their signup month. The failure to activate happens at the very first step of the customer journey, before any retention strategy can take effect.
- **2023 cohorts:** Month 1 retention has declined compared to 2022 cohorts, indicating the onboarding experience is deteriorating as customer acquisition scales.
- **Low engagement segment:** The secondary bank behavior — low transaction frequency, inflow-only accounts, no festive spending spikes — is concentrated in the 94.3% low engagement population.
- **Geography:** The activation problem is present across both Maharashtra and Karnataka. It is not a branch-specific or regional issue — it is a bank-wide systemic problem.

3. Why Is It Happening?

Three root causes are driving the problem:

- **Weak activation strategy:** NovaBank has no effective mechanism to push newly onboarded customers to make their first transaction. Customers who do activate stay for 12+ months at 65–91% retention — proving the problem is activation, not loyalty.
- **Poor onboarding experience:** The 16.5% transaction failure rate creates friction at the most critical moment — when a new customer is attempting their first or early transactions. A failed first transaction is often the last interaction.

- **No spending engagement:** 310 customers show inflow-only behavior — money arrives but never circulates. The bank is not targeting customers with spending incentives, offers, or product cross-sells that would make NovaBank their primary account.

4. What Is NOT Causing It?

Ruling out false causes is as important as identifying real ones. Two commonly assumed causes do not apply here:

- **Retention strategy is not the problem.** Customers who activate in Month 1 retain at 65–91% for up to 12 months. The retention plan works — it simply never gets a chance to operate because customers do not activate in the first place. Investing more in retention without fixing activation is solving the wrong problem.
- **Customer financial incapacity is not the problem.** 99.4% of the total portfolio balance sits in active accounts. NovaBank's customers have money. This is not a low-income or financially fragile customer base. The disengagement is behavioral, not financial.

Bottom Line

NovaBank does not have a retention problem. It has an **activation problem**. Financially capable customers are joining and doing nothing. Fix the first transaction experience, reduce the 16.5% failure rate, and give customers a reason to make NovaBank their primary bank — and retention will follow.